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February 17, 2025

By: Rader

An Act relating to sales tax; amending 68 O.S. 2021, Section 1368.3, which relates to noncompliant taxpayer; modifying definition; expanding certain requirements to avoid closure of business and provide defense to the closure of business; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 1368.3, is amended to read as follows:

Section 1368.3. A. As used in this section, "noncompliant taxpayer" means any taxpayer operating under a sales tax permit who, within any consecutive twenty-four-month period, has failed to timely file two reports or timely remit tax due for any two (2) months, as required under the provisions of any tax law. Provided, a taxpayer shall not be deemed noncompliant for nonpayment of income taxes.

B. In addition to all other remedies provided by law for the collection of unpaid taxes, the Oklahoma Tax Commission may close the business of a noncompliant taxpayer, subject to the administrative and judicial appeal procedures provided in this

1 section, if the noncompliant taxpayer, within any consecutive
2 twenty-four-month period, fails to timely file three reports or
3 timely remit tax due for any three (3) months, as required under the
4 provisions of any tax law.

5 C. 1. The Tax Commission shall give notice to a noncompliant
6 taxpayer that the third delinquency in reporting or remitting tax in
7 any consecutive twenty-four-month period will result in the closure
8 of the business. The notice must be in writing and delivered to the
9 noncompliant taxpayer by the United States Postal Service or by hand
10 delivery.

11 2. If the noncompliant taxpayer has a third delinquency in
12 reporting or remitting tax in any consecutive twenty-four-month
13 period after the issuance of the notice provided in paragraph 1 of
14 this subsection, the Tax Commission shall notify the noncompliant
15 taxpayer by certified mail or by hand delivery that the business
16 will be closed within five (5) business days from the date of the
17 delivery or attempted delivery of the notice unless the noncompliant
18 taxpayer makes arrangements with the Tax Commission to satisfy the
19 tax delinquency. When the fifth day falls on a Saturday, Sunday, or
20 legal holiday, the performance of the act is considered timely if it
21 is performed on the next succeeding business day that is not a
22 Saturday, Sunday, or legal holiday.

23 D. A noncompliant taxpayer may avoid closure of the business
24 by:

1 1. Filing all delinquent reports and remitting the delinquent
2 tax including any interest and penalty; or

3 2. a. Entering into a payment agreement approved by the Tax
4 Commission to satisfy the tax delinquency, and

5 b. Filing all required reports and remitting all taxes
6 due for a consecutive twenty-four-month period.

7 E. The decision to close the business of a noncompliant
8 taxpayer will be final and absolute if the noncompliant taxpayer
9 fails to request an administrative hearing as provided in subsection
10 F of this section.

11 F. 1. A noncompliant taxpayer may request an administrative
12 hearing concerning the decision of the Tax Commission to close the
13 business of a noncompliant taxpayer by filing with the Tax
14 Commission a written protest, signed by the noncompliant taxpayer or
15 the authorized agent of the noncompliant taxpayer, stating the
16 reasons for opposing the closure of the business and requesting an
17 administrative hearing. The protest shall be timely if filed within
18 five (5) business days after the delivery or attempted delivery of
19 the notice required by paragraph 2 of subsection C of this section.

20 2. A noncompliant taxpayer may request that an administrative
21 hearing be held in person, by telephone, upon written documents
22 furnished by the noncompliant taxpayer, or upon written documents
23 and any evidence produced by the noncompliant taxpayer at an
24 administrative hearing. The Tax Commission shall have the

1 discretion to determine whether an administrative hearing at which
2 testimony is to be presented will be conducted in person or by
3 telephone. A noncompliant taxpayer who requests an administrative
4 hearing based upon written documents is not entitled to any other
5 administrative hearing prior to the date a decision is rendered by
6 the hearing officer.

7 3. The administrative hearing will be conducted by a hearing
8 officer appointed by the Tax Commission. The hearing officer will
9 set the time and place for a hearing and will give the noncompliant
10 taxpayer notice of the hearing. The noncompliant taxpayer may be
11 represented by an authorized representative and may present evidence
12 in support of the position of the noncompliant taxpayer.

13 4. The administrative hearing will be held within fourteen (14)
14 calendar days of receipt by the Tax Commission of the request for
15 hearing, as required in paragraph 1 of this subsection. The Tax
16 Commission shall give the noncompliant taxpayer at least five (5)
17 days' notice of the hearing.

18 G. The defense or defenses to the closure of a business under
19 this section include written proof that the noncompliant taxpayer:

20 1. Filed all delinquent returns and paid the delinquent tax due
21 including interest and penalty; or

22 2. a. Has entered into a written payment agreement, approved
23 by the Tax Commission prior to the hearing, to satisfy
24 the tax delinquency, and

1 b. Has had no more than three (3) instances of untimely
2 filed reports or late tax remittances during a
3 consecutive twenty-four-month period.

4 H. 1. The decision of the hearing officer must be rendered in
5 writing with copies delivered to the noncompliant taxpayer by the
6 United States Postal Service or by hand delivery.

7 2. If the decision of the hearing officer is to affirm the
8 closure of the business, the decision shall be submitted in writing
9 and delivered by the United States Postal Service or by hand to the
10 noncompliant taxpayer.

11 3. The noncompliant taxpayer may seek judicial relief from the
12 decision of a hearing officer as provided in Section 225 of Title 68
13 of the Oklahoma Statutes for relief from a final order of the Tax
14 Commission.

15 I. The procedures established by this section are the sole
16 methods for seeking relief from a written decision to close the
17 business of a noncompliant taxpayer.

18 J. After being given notice of an order of closure of a
19 business pursuant to this section, it shall be unlawful for any
20 person to continue to operate the business. If a person continues
21 or threatens to continue the unlawful operation of the business
22 after having received proper notice of the closure, upon complaint
23 of the Tax Commission, the person shall be enjoined from further
24 operating or conducting the unlawful business. In all cases where

1 injunction proceedings are brought under this subsection, the Tax
2 Commission shall not be required to furnish bond. Where notice of
3 closure has been given in accordance with the provisions of this
4 section, no further notice shall be required before the issuance of
5 a temporary restraining order.

6 K. If a noncompliant taxpayer fails to timely seek
7 administrative or judicial review of a business closure decision
8 pursuant to this section, or if the business closure decision is
9 affirmed after administrative or judicial review, the Tax Commission
10 shall affix a written notice to all entrances of the business that:

11 1. Identifies the business as being subject to a business
12 closure order; and

13 2. States that the business is prohibited from further
14 operation.

15 SECTION 2. This act shall become effective November 1, 2025.

16 COMMITTEE REPORT BY: COMMITTEE ON REVENUE AND TAXATION
17 February 17, 2025 - DO PASS
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